



94 |

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there significant risks that we are facing, and are the RBI's actions warranted?

Morparia: I think the RBI is rightly focussing on ensuring that no regulatory arbitrage takes place because NBFCs do not have the same level of regulatory compliance requirements as a bank does. And, therefore, the regulator is rightly concerned that you do not use this regulatory arbitrage to cause a systemic problem. India has weathered various storms, and I think the RBI has done a phenomenal job, particularly during Covid. So, at a macro level, it

is not a concern, but you could see bubbles coming up, particularly with the advent of any regulatory arbitrage.

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Is a structural shift underway in our banking system, given the fact that the credit-deposit ratio is rising?

Chadha: A rising credit-deposit ratio is indicative of good credit demand, which you can look at as a positive, though that may be an issue with specific banks. But on NBFCs, 30-40% of the customers they lend to are new to credit. They are mostly in semi-rural areas. So, that customer, who had very little exposure to formal

credit, is now actually getting a digital footprint, and repaying loans. That customer is getting much more educated, and that will be yet another guard-rail against fraud. I think there are many positives in how banks, NBFCs, and others are really building up Bharat.

Garg: I think there is great demand for credit. That's very good.

It's the democratisation of the credit. What worries me a little is that industrial credit, which is the real driver of growth, is not taking off. Another aspect I'm a little worried about is whether credit for housing or personal loans is getting into the stock markets. If there is

evidence of that, that will be problematic.

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Is the shift we see of savers wanting higher returns the biggest challenge for our banks?

Sinha: I don't agree with that. I think we are seeing a financialisation of assets. People are not necessarily moving out of banks. They are, in fact, reducing their exposure to real estate, gold, and other hard assets and coming into the financial system. I think the priorities for us are threefold: First, we have got to continue to formalise people's credit behaviour and financial life, which is happening. Second, we need to make sure that industrial investment and corporate investment increase, and for that we have to reduce the cost of capital. And, third, for certain areas such as climate finance, health, and education, we need to provide the financing solutions for those as well. If we can focus on these priorities, it will help us get to 8-9% GDP growth that we aspire to. **BT**

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